

Document 5: S5 — BOS & CHoCH (Structural Confirmation) (Max Score: 10)

1) Overview

- Code: S5
- Tier: 2 (Core Rule)
- Role: Confirms whether **structure has actually shifted** after **liquidity events**
- Max Score: 10
- Status:  Approved
- Precedence: Comes **after S4** (liquidity sweep) and acts as **final structural validation**
- Special Behavior:
 -  Soft Gate + Hard Gate condition

2) Core Concept (Very Important)

◆ BOS vs CHoCH (Your Practical Definition)

BOS (Break of Structure):

- Continuation signal
- Confirms trend is intact
- Example: Higher High broken in uptrend

CHoCH (Change of Character):

- First sign of reversal
 - Breaks the previous opposing structure
 - Example: After downtrend → break of lower high
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3) Why S5 is Critical

S4 tells you:

"Liquidity was taken"

S5 tells you:

✓ "Now market has actually **shifted direction**"

Without S5:

- A sweep can become **continuation**
- Many "reversals" fail

4) S5 Scoring Structure (Total = 10)

S5 has 3 components:

- A) Structure Shift Signal (Max 4)
 - B) Structure Quality (Max 3)
 - C) Multi-Timeframe (MTF) Coherence (Max 3)
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A) Component A — Structure Shift Signal (Max: 4)

A1) CHoCH Detection (Max: 2)

Score:

- 2 = Clear CHoCH after sweep (strong reversal signal)
- 1 = Weak/uncertain CHoCH
- 0 = No CHoCH

✔ Logic:

CHoCH is the **first proof** that trend might change.

A2) BOS Confirmation (Max: 2)

Score:

- 2 = Strong BOS in direction of *new* move
- 1 = Weak/marginal BOS
- 0 = No BOS

✓ Logic:

CHoCH shows intent, BOS shows **commitment**.

B) Component B — Structure Quality (Max: 3)

B1) Break Strength (Max: 2)

Score:

- 2 = Strong impulsive break (displacement candle)
- 1 = Slow grind / weak break
- 0 = Fake break (no follow-through)

✓ Logic:

Strong breaks indicate institutional participation.

B2) Retest Behavior (Max: 1)

Score:

- 1 = Clean retest holds (structure respected)
- 0 = Retest fails / structure broken again

✓ Logic:

Retest confirms the **validity of the new structure**.

C) Component C — MTF Structure Coherence (Max: 3)

C1) Alignment Across Timeframes (Max: 2)

Score:

- 2 = Structure aligns across HTF + LTF (e.g., daily + hourly)
- 1 = Partial alignment
- 0 = Conflict across TFs

✓ Logic:

Higher timeframe controls direction; lower timeframe provides entries.

C2) LTF BOS After Sweep Model (Max: 1)

Score:

- 1 = LTF BOS occurs **after sweep** (S4)
- 0 = Not present

✓ Approved Rule:

LTF BOS after sweep = institutional entry model

5) Score Summary

- | | | |
|---|---------------------------|----------|
| 1 | A) Structure Shift Signal | → Max 4 |
| 2 | B) Structure Quality | → Max 3 |
| 3 | C) MTF Coherence | → Max 3 |
| 4 | ----- | |
| 5 | TOTAL S5 SCORE | → Max 10 |

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6) Soft Gate & Hard Gate Logic

⊘ Hard Gate

- S5 = 0 → NO TRADE
- Structure not confirmed → setup invalid

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Hard Gate

- $S5 = 0 \rightarrow$ NO TRADE
- Structure not confirmed $\rightarrow$ setup invalid

Soft Gate

- $S5 = 1-3$
 - Weak structure
 - Requires:
 - Strong S2 (OB)
 - Strong S4 (Sweep)

Normal Condition

- $S5 \geq 4$
 - Structure acceptable
 - Trade allowed

7) Interpretation Tiers

- 8-10 → **Strong Structure**
 - High conviction reversal/continuation
- 5-7 → **Valid Structure**
 - Tradable with confirmation
- 1-4 → **Weak Structure**
 - Needs strong confluence
- 0 → **Invalid**
 - ❌ No trade

8) Critical Approved Rules

✓ 1. LTF BOS After Sweep = Institutional Entry Model

This is one of your most powerful patterns:

1 Sweep (S4) → LTF BOS (S5) → Entry

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✓ 2. Failed BOS = Exit Signal

- If BOS fails (price reverses back aggressively)
- → institutional intent failed
- → exit trade

✓ 3. MTF BOS Increases Conviction

- BOS on multiple timeframes = strong directional move
- Example:
 - 15m BOS + 1H BOS + Daily bias aligned
 - → high confidence trade

9) Practical Flow Integration

S5 sits exactly in the middle of your logic:

- ```
1 S2 → Identify zone
2 S4 → Sweep liquidity
3 S5 → Confirm structure shift ✓
4 S3 → Precision entry
5 S6 → Validate participation
```

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## 10) Example Scenarios

### ✓ Ideal Reversal

- Sweep below demand (S4)
- CHoCH (break of LH)
- BOS upward
- Strong break + retest

→ S5 score: 8–10 ✓

### ⚠ Weak Setup

- Sweep occurs
- No clear CHoCH
- No BOS

→ S5 score: 0–2 ❌ (blocked or risky)

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### ❌ Trap Scenario

- BOS happens but:
  - Weak candle
  - No follow-through
  - Quickly reversed

→ Failed BOS → ❌ Exit

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## 11) What S5 Protects You From

- Entering only on OB or sweep without confirmation
- Mistaking continuation for reversal
- Getting trapped in fake breakouts
- Ignoring structure alignment across TFs